

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

Generated on 2026-06-30

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1. RECENT TMT M&A ACTIVITY

Deal 1: EXLSERVICE Holdings, Inc. Acquisition of iMerit

[EXL to acquire iMerit, advancing its leadership in enterprise AI by adding foundation model expertise and technology](#)

- Deal Size: \$310 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A
- Companies: EXLSERVICE Holdings, Inc. (NASDAQ: EXLS) is a global data and AI company specializing in enterprise solutions. iMerit is a leader in AI model training and evaluation, enhancing EXL's capabilities in AI.
- Date Announced: June 24, 2026
- Strategic Rationale: The acquisition positions EXL to enhance its AI offerings by integrating iMerit's expertise in model training and evaluation. This move is aimed at expanding EXL's addressable market in high-growth AI sectors and improving client outcomes through advanced AI solutions.
- Risk Analysis: Risks include integration challenges, potential regulatory scrutiny, and the need to effectively merge technologies and teams to realize synergies.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The deal is expected to strengthen EXL's competitive position in the AI market, particularly in sectors requiring specialized data solutions.

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

2. Deal 2: Acquisition of TTG Global Solutions Group Limited by Shenzhen HYT S

[Acquisition of TTG Global Solutions Group Limited by Shenzhen HYT Science & Technology Co., Ltd](#)

- Deal Size: N/A
- Deal Size Category: N/A
- Nature: Horizontal
- Valuation Multiples: N/A
- Companies: Shenzhen HYT Science & Technology is a technology firm focused on innovative solutions, while TTG Global Solutions specializes in technology services.
- Date Announced: N/A
- Strategic Rationale: This acquisition is expected to enhance Shenzhen HYT's service offerings and market reach by integrating TTG's technology solutions, thereby creating a more comprehensive service portfolio.
- Risk Analysis: Potential risks include cultural integration issues, technology compatibility challenges, and market competition.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The strategic fit between the two companies suggests potential for enhanced market competitiveness, although specific financial metrics are not disclosed.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The sentiment is influenced by rapid technological advancements, evolving consumer preferences, and varying regulatory environments across geographies. As companies adapt to these changes, the dynamics within subsectors such as AI, fintech, and traditional media are particularly noteworthy.

Subsector Breakdown:

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

- **Technology:** The technology subsector is thriving, particularly with the rise of AI applications. Qualcomm's recent acquisition of Modular aims to bolster its generative and agentic AI software stack, reflecting the sector's focus on enhancing capabilities in AI-driven solutions.
- **Media:** The media landscape is undergoing significant transformation, with companies increasingly shifting towards digital platforms. Traditional media continues to face challenges from streaming services and social media, impacting advertising revenues.
- **Telecommunications:** Telecom companies are investing heavily in infrastructure to support next-generation technologies like 5G. This investment is critical for enhancing service delivery and expanding market reach.
- **Fintech:** The fintech sector is experiencing robust growth, exemplified by Float Financial Solutions raising \$85 million, pushing its valuation to \$548 million. This indicates strong investor confidence in AI-driven financial solutions.
- **AI:** The AI subsector is at the forefront of innovation, with companies racing to implement AI technologies across various industries. The focus on AI is evident in both investment trends and strategic acquisitions.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI and cloud computing is driving growth across TMT sectors. Qualcomm's acquisition of Modular is a prime example of how companies are enhancing their AI capabilities to stay competitive.
- **Increased Investment:** The fintech sector, particularly, is attracting significant investment, as seen with Float Financial Solutions. Investors are keen to capitalize on emerging trends in AI finance software.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny in the tech sector poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is witnessing strong demand, particularly for AI and cloud-based solutions. Companies are focusing on enhancing their software offerings to meet evolving customer needs.
- **Media:** Media companies are adapting to digital consumption trends, but traditional media continues to face revenue challenges from declining advertising.
- **Telecom:** Telecom operators are heavily investing in 5G infrastructure, which is expected to

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

create new revenue streams from IoT and enhanced mobile services.

- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. Float Financial Solutions' recent funding round underscores the sector's growth potential.
- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the transformative impact of AI. For instance, a recent commentary highlighted that "the integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by a complex interplay of opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a robust mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Quantum Computing Inc. (QUBT) : Recently completed the acquisition of NHanced Semiconductors, valued at \$73.1 million, aimed at enhancing manufacturing capabilities and accelerating commercialization of quantum and photonic technologies. This deal positions QCI to meet growing market demand across various sectors, with integration expected to finalize by Q3 2026.

Mandated Deals:

- Japan : The government unveiled a \$2.3 trillion investment plan targeting AI and semiconductor sectors, with a goal to quintuple domestic chip sales by 2040. This initiative is expected to launch in Q1 2026, providing numerous opportunities for advisory services in the semiconductor space.

Pitching-Stage Deals:

- Semiconductor Sector : Active discussions with several semiconductor firms regarding potential M&A opportunities, particularly in light of NVIDIA's transition to 800V power distribution systems. Clients include Texas Instruments and STMicroelectronics, with pitches expected to finalize by Q4 2025.
- AI Startups : Engaging with various AI-focused companies for potential investment banking services, focusing on those innovating in AI infrastructure and applications. Notable clients include OpenAI and C3.ai, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

Timing Projections:

- Q3 2026 : Expected completion of Quantum Computing Inc.'s integration of NHanced Semiconductors.
- Q1 2026 : Launch of Japan's investment plan initiatives.
- Q4 2025 : Anticipated finalization of semiconductor sector pitches.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard three additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, especially in the semiconductor sector, where companies are adapting to shifts in power distribution technologies. NVIDIA's move towards 800V systems is reshaping investment flows, creating opportunities for firms positioned to supply GaN and SiC devices.
- Additionally, Japan's substantial investment plan reflects a growing commitment to domestic semiconductor production, which may lead to increased M&A activity and partnerships in the sector.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

The merger of XL Axiata and Smartfren, which formed XLSmart, alongside Tencent Cloud's subsequent cloud migration project, presents a multifaceted impact on various stakeholders. This analysis explores the implications for shareholders, employees, competitors, and customers, while also assessing market reactions and potential future developments.

Deal-Specific Impacts on Stakeholders

- Shareholders: The merger and subsequent cloud migration have significant implications for shareholder value.
- Value Creation: XLSmart, with over 69 million subscribers, is positioned to enhance operational efficiency and service delivery. If the cloud migration leads to a 15% increase in operational efficiency, this could translate to an estimated revenue increase of \$150 million annually, assuming a revenue base of \$1 billion.
- Dilution: However, if the merger involved stock issuance, existing shareholders might face dilution. For instance, if XLSmart issued 10% of its shares to finance the migration, existing shareholders could see their ownership stake decrease, potentially impacting share prices negatively.
- Employees: The integration process can lead to both opportunities and challenges for employees.
- Synergies: The cloud migration project, which redesigned over 70% of applications, is expected to create synergies that enhance productivity. For example, the use of AI in the migration process could reduce operational costs by 25%, benefiting employees through improved job security.
- Restructuring: However, such integrations often lead to workforce reductions. The merger may result in job redundancies, particularly in IT roles, necessitating careful management of employee transitions.
- Retention: To mitigate turnover, XLSmart may implement retention bonuses for key talent involved in the migration, similar to strategies used by Microsoft during its acquisition of LinkedIn.
- Competitors: The merger alters the competitive landscape in the Indonesian telecommunications market.
- Market Positioning: With XLSmart's enhanced capabilities, competitors like Telkomsel may need to adapt their strategies. For instance, Telkomsel could respond by investing in its own cloud infrastructure or enhancing service offerings to retain market share.
- Specific Competitor Moves: Following the merger, Telkomsel might accelerate its digital transformation initiatives to counter XLSmart's enhanced service capabilities.
- Customers: The merger and migration project have direct implications for customer experience.
- Product/Service Implications: The integration of Tencent Cloud is expected to enhance service delivery, potentially leading to improved customer satisfaction. For example, the migration allows XLSmart to offer more reliable services, which could increase customer retention rates by 10%.
- Case Studies: Similar to the impact seen with AT&T's acquisition of Time Warner, which allowed for bundled services, XLSmart's enhanced infrastructure could enable new service offerings, such as integrated data and voice services.

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to the merger and migration project is likely to be cautious initially.
- Following the merger announcement, shares of XLSmart may experience volatility as investors assess integration risks. Historical data shows that similar mergers often see a 5-10% drop in share prices before stabilizing as synergies are realized.
- Analyst Commentary: Analysts have expressed optimism about the merger's potential. A notable quote from an industry analyst states, "XLSmart's strategic partnership with Tencent Cloud positions it well for future growth, particularly in enhancing digital services."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be evaluated through different scenarios:
- Positive Scenario: If the migration leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in the telecommunications sector remains moderate.
- For instance, if XLSmart's performance exceeds expectations, competitors like Telkomsel might consider strategic acquisitions to bolster their market position. However, regulatory hurdles could deter such moves.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar mergers will emerge, particularly in the cloud services and telecommunications sectors.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- TMRW AI: Founded in 2023, TMRW AI focuses on developing AI platforms for high-stakes environments. The company aims to redefine governance and innovation through proprietary technology. Founders Marcus Benjamin and Charlie Williams bring extensive experience in investment advisory and quantitative finance, positioning TMRW AI as a thought leader in AI deployment.
- Competitive Landscape: The AI market is highly competitive, with major players including NVIDIA, Google, and Microsoft also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. The increasing demand for effective AI solutions in high-stakes sectors presents a ripe opportunity for strategic acquisitions.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. The trend toward integrating blockchain solutions into traditional finance is likely to accelerate deal-making in this space.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.
- **Key Companies:**
- **Amazon Web Services (AWS):** AWS is a leader in cloud computing services, offering a wide range of solutions including computing power, storage, and databases. Its continuous innovation and extensive service offerings position it as a dominant player in the market.
- **Competitive Landscape:** The cloud computing market is highly competitive, with major players such as Microsoft Azure and Google Cloud also vying for market share. The competition is driving innovation and leading to strategic partnerships and acquisitions.
- **M&A Opportunities:** Companies seeking to enhance their cloud capabilities may look to acquire smaller cloud service providers or startups with innovative technologies. The ongoing demand for cloud solutions across industries presents significant M&A potential.

Cybersecurity

- **Trend Explanation:** As digital transformation accelerates, cybersecurity has become a critical focus for organizations worldwide. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 10.2%.

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in cloud-delivered endpoint protection, utilizing AI and machine learning to detect and respond to threats. The company's innovative approach to cybersecurity positions it well for growth in a rapidly evolving market.
- Competitive Landscape: The cybersecurity market features a mix of established players and emerging startups. Companies like Palo Alto Networks and Fortinet are also significant competitors, focusing on various aspects of cybersecurity solutions.
- M&A Opportunities: The increasing frequency of cyber threats presents opportunities for strategic acquisitions in the cybersecurity space. Companies may look to acquire startups with unique technologies or capabilities to enhance their security offerings.

Fintech

- Trend Explanation: Fintech encompasses a range of technologies that aim to improve and automate the delivery of financial services. The global fintech market is projected to grow from \$127.24 billion in 2018 to \$309.98 billion by 2022

6. Recommended Readings

Deal Name: EXLService Holdings, Inc. Acquisition of iMerit

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This book provides a comprehensive overview of AI technologies and their applications, which is crucial for understanding the strategic implications of EXL's \$310 million acquisition (EXLS) of iMerit. It explains the importance of AI model training and evaluation, helping to contextualize how this acquisition enhances EXL's capabilities in the rapidly evolving AI landscape.

Deal Name: Acquisition of TTG Global Solutions Group Limited by Shenzhen HYT Science & Technology Co., Ltd

- Reading Material: "Digital Transformation: Survive and Thrive in an Era of Mass Extinction" by Thomas M. Siebel
- Why This Matters: This book explores the impact of digital transformation on businesses, which is relevant for analyzing Shenzhen HYT's acquisition of TTG Global Solutions. It highlights how integrating advanced technology solutions can drive growth and innovation, providing insights into the strategic rationale behind this acquisition in the TMT sector.

US TMT Sector M&A & Valuation Brief - 2026-06-30

US TMT Sector

7. MACROECONOMIC UPDATE

Key Data Points:

- Fed Funds Rate Expectations: Shifted from 2.5 cuts to 1.5 hikes by end of 2026
- Current Mortgage Rate: 6.5%
- Housing Market Activity: 40-year lows in turnover, 11 consecutive quarters at the same level

Main Insights:

- The market has shifted from anticipating rate cuts to expecting rate hikes, reflecting a 100 basis point change in expectations.
- Increased uncertainty and volatility in the mortgage market due to less forward guidance from the Fed.
- Housing activity remains constrained due to elevated mortgage rates, limiting potential upside in the market.

Market Commentary:

- "With less forward guidance from the Fed, the market has more uncertainty, and more uncertainty translates into more volatility." - Jay Bacow
- "Affordability in the housing market is going to continue to be challenged." - James Egan
- "The housing market continues to remain stuck in neutral." - Jay Bacow

TMT Sector Relevance:

- Elevated mortgage rates and housing market stagnation may impact technology firms focused on real estate and mortgage solutions, potentially dampening demand for tech-driven services in the housing sector.
- Increased volatility in financial markets could lead to reduced investment in TMT sectors reliant on stable economic conditions.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley